

Question ID: 3ac09984

Assessment	Test	Domain	Skill	Difficulty
SAT	Math	Problem-Solving and Data Analysis	Ratios, rates, proportional relationships, and units	Easy

Question

Marta has 7,500 pesos she will convert to US dollars using a currency exchange service. At this time, the currency exchange rate is 1 peso = 0.075 US dollars. The exchange service will charge Marta a 2% fee on the converted US dollar amount. How many US dollars will Marta receive from the currency exchange after the 2% fee is applied?

Answer

- A. \$551.25
- B. \$562.50
- C. \$5,625.00
- D. \$98,000.00

Correct Answer: A

Rationale

Choice A is correct. At the exchange rate of 1 peso = 0.075 US dollars, 7,500 pesos would be converted to $7,500 \times 0.075 = \$562.50$. However, since Maria pays a 2% fee on the converted US dollar amount, she receives only $(100 - 2)\%$, or 98%, of the converted US dollars, and $562.50 \times 0.98 = \$551.25$.

Choice B is incorrect. This is the number of US dollars Maria would receive if the exchange service did not charge a 2% fee. Choice C is incorrect and may result from a decimal point error made when calculating the conversion to US dollars and from not assessing the 2% fee. Choice D is incorrect and may result from reversing the units of the exchange rate.